

**Expungement Award
FINRA Dispute Resolution Services**

In the Matter of the Arbitration Between:

Claimant

Christopher Richard Rice

Case Number: 25-01283

vs.

Respondent

Merrill Lynch Pierce Fenner & Smith Inc.

Hearing Site: New York, New York

Awards are rendered by independent arbitrators who are chosen by the parties pursuant to Rule 13806 of the Code of Arbitration Procedure ("Code") to issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

Nature of the Dispute: Associated Person vs. Member

The expungement hearing was conducted by videoconference.

REPRESENTATION OF PARTIES

For Claimant Christopher Richard Rice ("Claimant"): Peter Lindholm, HLBS Law, Broomfield, Colorado.

For Respondent Merrill Lynch Pierce Fenner & Smith Inc. ("Respondent"): Stuart Rebish, Esq., and Schruti Jaishankar, Esq., Maynard Nexsen PC, New York, New York.

CASE INFORMATION

Statement of Claim filed on or about: June 20, 2025.

Christopher Richard Rice signed the Submission Agreement: June 20, 2025.

Statement of Answer filed by Respondent on or about: August 15, 2025.

Merrill Lynch Pierce Fenner & Smith Inc. signed the Submission Agreement: August 14, 2025.

CASE SUMMARY

In the Statement of Claim, Claimant asserted a claim seeking expungement of customer dispute information from registration records maintained by the Central Registration Depository ("CRD").

In the Statement of Answer, Respondent took no position on Claimant's expungement request and asserted various affirmative defenses.

RELIEF REQUESTED

In the Statement of Claim, Claimant (CRD Number 3205883) requested expungement of all references to Occurrence Number 1400141 from the CRD registration records and any and all other relief that the Panel deems just and equitable.

In the Statement of Answer, Respondent did not set forth a specific relief request.

OTHER ISSUES CONSIDERED AND DECIDED

The Arbitrators acknowledge that they have each read the pleadings and other materials filed by the parties.

On June 23, 2025, Claimant advised that the customer in Occurrence Number 1400141 ("Customer") was served with a copy of the Statement of Claim within 10 days of filing the Statement of Claim and provided proof of service.

On August 18, 2025, Claimant advised that the Customer was served with a copy of the Statement of Answer within 10 days of its filing and provided proof of service. On August 25, 2025, Claimant filed an affidavit of service of the Statement of Answer on the customer.

The Panel conducted a recorded hearing by videoconference on December 2, 2025, so the parties could present oral argument and evidence on Claimant's request for expungement. Claimant appeared by videoconference at the expungement hearing. Respondent appeared at the expungement hearing and as stated in the Statement of Answer, did not oppose the request for expungement.

The Customer did not appear at the expungement hearing.

No authorized representative of a state securities regulator appeared at the expungement hearing.

The Panel noted Claimant's representation that a prior arbitration panel or court has not previously ruled on expungement of the same occurrence in the CRD.

The Panel was unable to review the settlement documentation related to Occurrence Number 1400141. Due to the age of the occurrence, Claimant does not have a copy of any signed settlement agreement relating to the aforesaid occurrence. Respondent also confirmed that, due to the age of the occurrence the firm does not have, nor is it required to retain documents related to the occurrence. The Panel considered the amount of payment made to any party to the settlement. The Panel also, noted that the settlement was prior to the July 30, 2014, the effective date of FINRA Rule 2081 which prohibited conditioned settlements not to opposed expungement request. In addition, there was evidence of Respondent's participation in the industry ARS repurchase at full principal. Claimant did not contribute to the settlement amount.

The Panel relied upon the following documentary or other evidence: Claimant and witness testimonies; and Claimant's Ex.1.

AWARD

After considering the pleadings, the testimony and evidence presented at the expungement hearing, and any post-hearing submissions, the Panel has decided in full and final resolution of the issues submitted for determination as follows:

1. The Panel awards the expungement of all references to Occurrence Number 1400141 from registration records maintained by the CRD for Claimant Christopher Richard Rice (CRD Number 3205883) with the understanding that, pursuant to Rule 2080, Claimant Christopher Richard Rice must obtain confirmation from a court of competent jurisdiction before the CRD will execute the expungement directive.

Unless specifically waived in writing by FINRA, parties seeking judicial confirmation of an arbitration award containing customer dispute expungement relief must name FINRA as an additional party and serve FINRA with all appropriate documents.

Pursuant to Rule 13805 of the Code of Arbitration Procedure ("Code"), the Panel has made the following affirmative finding of fact:

The claim, allegation, or information is factually impossible or clearly erroneous.

The Panel has made the above finding based on the following reasons:

The Panel recommends expungement of Occurrence 1400141 from Claimant's CRD record as clearly erroneous under FINRA Rule 2080(b)(1)(A).

On the record, the recommendation that the customer invest the current cash portion of her portfolio in auction-rate securities ("ARS") in 2007 was not unsuitable. The 40-year old customer had a balanced IRA and a substantial annual income; the ARS were considered in the firm and by the industry to be cash equivalents at the time of the investments; a year later they became illiquid during the 2008 credit crisis but the ARS did not lose principal value; the firm repurchased the ARS from the customer at full principal price as part of a widespread industry settlement; and the customer was not harmed.

At the time of the purchase, the record shows that the ARS were appropriate investment for the customer and the allegation of inappropriateness is clearly erroneous under FINRA Rule 2080(b)(1)(A).

2. Any and all claims for relief not specifically addressed herein are denied.

FEES

Pursuant to the Code, the following fees are assessed:

Filing Fees

FINRA Dispute Resolution Services assessed a filing fee* for each claim:

Initial Claim Filing Fee = \$2,000.00

**The filing fee is made up of a non-refundable and a refundable portion.*

Member Fees

Member fees are assessed to each member firm that is a party in these proceedings or to the member firm that employed the associated person at the time of the event giving rise to the dispute. Accordingly, as a party, Respondent is assessed the following:

Member Surcharge	= \$ 2,600.00
Member Process Fee	= \$ 5,005.00

Hearing Session Fees and Assessments

The Panel has assessed hearing session fees for each session conducted. A session is any meeting between the parties and the Arbitrators, including a pre-hearing conference with the Arbitrators, which lasts four (4) hours or less. Fees associated with these proceedings are:

One (1) pre-hearing session with the Panel @ \$1,725.00/session	= \$ 1,725.00
Pre-Hearing Conference: August 26, 2025	1 session

One (1) hearing session on expungement request @ \$1,725.00/session	= \$ 1,725.00
Hearing: December 2, 2025	1 session

Total Hearing Session Fees	= \$ 3,450.00
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The Panel has assessed the total hearing session fees to Claimant.

All balances are payable to FINRA Dispute Resolution Services and are due upon receipt.

ARBITRATION PANEL

Brian John Gallagher	-	Public Arbitrator, Presiding Chairperson
Gloria O. North	-	Public Arbitrator
Louis M. Parker	-	Public Arbitrator

I, the undersigned Arbitrator, do hereby affirm, pursuant to Article 7507 of the Civil Practice Law and Rules, that I am the individual described herein and who executed this instrument, which is my award.

Concurring Arbitrators' Signatures

Brian John Gallagher

Brian John Gallagher
Public Arbitrator, Presiding Chairperson

12/04/2025

Signature Date

Gloria O. North

Gloria O. North
Public Arbitrator

12/04/2025

Signature Date

Louis M. Parker

Louis M. Parker
Public Arbitrator

12/05/2025

Signature Date

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December 05, 2025

Date of Service (For FINRA Dispute Resolution Services use only)